Project Falcon - quality of earnings findings (Ardent Advisory)

Project Falcon - Quality of earnings (QoE) findings. Ardent Advisory draft report, summarised by Priya Shah, Sep 29 2026.

EBITDA. Ardent confirms FY25 adjusted EBITDA within 2% of management's figure. Add-backs are reasonable apart from $0.3M of recurring "one-off" recruiting costs, which we treat as ongoing. Margin of 18% holds.

Revenue quality. FY25 reported growth of 22% is flattered by two items:
1. $1.9M of one-time implementation revenue from a large onboarding in Q4 FY25.
2. Roughly $0.8M of multi-year prepaid subscriptions recognised early after a billing change.
Adjusting for both, organic recurring growth is closer to 13-14%.

Bookings. Q2 and Q3 FY26 new bookings were pulled forward into late FY25 by year-end discounting. Ardent flags this as a risk to FY26 growth.

Recommendation. Ardent suggests haircutting the management growth case to roughly 12% for underwriting.

Action. Priya to update the operating model to the QoE-adjusted growth rate.